



ZED FINANCIAL PH, INC.

12th Floor Four/Neo, 4th Avenue Corner 30th Street, Taguig, Metro Manila 1635

STATEMENT OF MANAGEMENT'S RESPONSIBILITY FOR FINANCIAL STATEMENTS

The Management of **ZED FINANCIAL PH, INC.** is responsible for the preparation and fair presentation of the financial statement for the years ended December 31, 2024 and 2023, in accordance with the Philippine Financial Reporting Standards (PFRS), and for such internal control as Management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, Management is responsible for assessing the Company's ability to continue as going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless Management intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

The Board of Directors is responsible for overseeing the Company's financial reporting process.

The Board of Directors reviews and approves the financial statement, including the schedules attached therein, and submits the same to the stockholders.

R.S. Bernaldo & Associates and Ronesa D. Buquiron, the independent auditors appointed by the stockholders, for the years ended December 31, 2024 and 2023, respectively, have audited the financial statements of the Company in accordance with Philippine Standards on Auditing, and in its report to the stockholders, has expressed its opinion on the fairness of presentation upon completion of such audit.

Signed by:

Steven Thomas Abraham

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Steven Thomas Abraham
Chairman of the Board

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DAbraham

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Danielle Cojuangco Abraham
President and Chief Executive Officer

Signed by:

Auvrey Via Reyes

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Auvrey Via Reyes
Treasurer

Signed this 3rd day of July 2025



INDEPENDENT AUDITORS' REPORT

The Board of Directors and the Stockholders
ZED FINANCIAL PH, INC.
(Formerly: Zed Philippines Inc.)
(A Wholly-owned Subsidiary of Zed Financial, Inc.)
12th Floor, Neo Building, 4th Avenue corner
30th Street, Bonifacio Global City
Taguig, 1635

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of **ZED FINANCIAL PH, INC.** (the "Company"), which comprise the statement of financial position as at December 31, 2024, and the statement of comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of material accounting policies.

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Company as at December 31, 2024, and its financial performance and its cash flows for the year then ended in accordance with Philippine Financial Reporting Standards (PFRS) Accounting Standards.

Basis for Opinion

We conducted our audits in accordance with Philippine Standards on Auditing (PSAs). Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Financial Statements* section of our report. We are independent of the Company in accordance with the Code of Ethics for Professional Accountants in the Philippines (Code of Ethics) together with the ethical requirements that are relevant to our audits of the financial statements in Philippines, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Other Matter

The financial statements of the Company for the year ended December 31, 2023 were audited by another auditor who expressed an unqualified opinion on those statements on April 12, 2024.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with PFRS Accounting Standards, and for such internal control as Management determines is necessary to enable the preparation of financial statements that are free from material misstatements, whether due to fraud or error.

In preparing the financial statements, Management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless Management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditors' Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with PSAs will always detect a material misstatement when it exists. Misstatement can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with PSAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by Management.

- Conclude on the appropriateness of Management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditors' report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors' report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audits and significant audit findings, including any significant deficiencies in internal control that we identify during our audits.

Report on Other Legal and Regulatory Requirements

Our audits were conducted for the purpose of forming an opinion on the basic financial statements taken as a whole. The supplementary information required by BSP Circular No. 1074 and Revenue Regulations Nos. 15-2010, 19-2011 and 34-2020 in Notes 28 and 29, to the financial statements, is presented for purposes of filing with the Bureau of Internal Revenue and is not a required part of the basic financial statements. Such information is the responsibility of the Management of **ZED FINANCIAL PH, INC.** The information has been subjected to the auditing procedures applied in our audits of the basic financial statements. In our opinion, the information is fairly stated in all material respects in relation to the basic financial statements taken as a whole.

R.S. BERNALDO & ASSOCIATES

BOA/PRC No. 0300

Valid until November 19, 2026

SEC Group A Accreditation No. 0300-SEC

Valid until 2024 audit period (extended until 2025 audit period)

BSP Group B Accreditation No. 0300-BSP

Valid until 2026 audit period

BIR Accreditation No. 08-007679-000-2023

Valid from January 31, 2023 until January 30, 2026

IC Group A Accreditation No. 0300-IC

Valid until 2026 audit period

MARVIN G. GARCIA

Partner

CPA Certificate No. 102934

BOA/PRC No. 0300/P-003

Valid until November 19, 2026

SEC Group A Accreditation No. 102934-SEC

Valid until 2025 audit period

BSP Group B Accreditation No. 102934-BSP

Valid until 2025 audit period

BIR Accreditation No. 08-007679-008-2025

Valid from March 20, 2025 until March 19, 2028

Tax Identification No. 214-290-691

IC Accreditation No. 102934-IC

Valid until 2024 audit period

PTR No. 10481164

Issued on January 15, 2025 at Makati City

July 3, 2025

ZED FINANCIAL PH, INC.***(Formerly: Zed Philippines, Inc.)****(A Wholly-owned Subsidiary of Zed Financial, Inc.)***STATEMENT OF FINANCIAL POSITION**

December 31, 2024

(With Comparative Figures as of December 31, 2023)

(In Philippine Peso)

	NOTES	2024	2023
A S S E T S			
Current Assets			
Cash	6	64,518,380	96,715,057
Cash – restricted	7	6,334,379	5,783,950
Trade and other receivables	8	28,172,071	288,546
Due from a related party	12	47,423	26,400
Prepayment and other current assets	9	1,388,890	1,826,218
		100,461,143	104,640,171
Non-current Assets			
Equipment – net	10	54,749	67,976
Deferred taxes – net	22	1,950,508	-
		2,005,257	67,976
TOTAL ASSETS		102,466,400	104,708,147
LIABILITIES AND STOCKHOLDERS' EQUITY			
L I A B I L I T I E S			
Current Liabilities			
Trade and other payables	11	3,034,712	3,186,893
Due to a related party	12	854,441	848,245
Deposit for future stock subscription	13	-	90,355,999
		3,889,153	94,391,137
Non-current Liability			
Deferred taxes – net	22	-	11,827
TOTAL LIABILITIES		3,889,153	94,402,964
S T O C K H O L D E R S ' E Q U I T Y			
Capital Stock	14	100,000,000	10,000,000
Additional paid in capital	14	355,999	-
Retained Earnings (Deficit)		(1,778,752)	305,183
TOTAL STOCKHOLDERS' EQUITY		98,577,247	10,305,183
TOTAL LIABILITIES AND STOCKHOLDERS' EQUITY		102,466,400	104,708,147

(See Notes to Financial Statements)

ZED FINANCIAL PH, INC.***(Formerly: Zed Philippines, Inc.)****(A Wholly-owned Subsidiary of Zed Financial, Inc.)***STATEMENT OF COMPREHENSIVE INCOME**

For the Year Ended December 31, 2024

(With Comparative Figures for the Year Ended December 31, 2023)

(In Philippine Peso)

	NOTES	2024	2023
INCOME	16	1,025,054	4,544
COST OF SERVICES	17	-	(7,977)
GROSS LOSS		1,025,054	(3,433)
OTHER INCOME (EXPENSE) – net	18	11,642,021	(687,542)
		12,667,075	(690,975)
OPERATING EXPENSES	19	(16,713,345)	(8,387,629)
LOSS BEFORE TAX		(4,046,270)	(9,078,604)
INCOME TAX BENEFIT	21	(1,962,335)	(2,314,906)
LOSS		(2,083,935)	(6,763,698)

(See Notes to Financial Statements)

ZED FINANCIAL PH, INC.***(Formerly: Zed Philippines, Inc.)****(A Wholly-owned Subsidiary of Zed Financial, Inc.)***STATEMENT OF CHANGES IN EQUITY**

For the Year Ended December 31, 2024

(With Comparative Figures for the Year Ended December 31, 2023)

(In Philippine Peso)

	Notes	Capital Stock	Additional Paid In Capital	Retained Earnings (Deficit)	Total
Balance at January 1, 2023		10,000,000	-	7,068,881	17,068,881
Loss				(6,763,698)	(6,763,698)
Balance at December 31, 2023	14	10,000,000	-	305,183	10,305,183
Conversion of deposit for future stock subscription	13	90,000,000			90,000,000
Additional paid-in-capital	14		355,999		355,999
Loss				(2,083,935)	(2,083,935)
Balance at December 31, 2024	13,14	100,000,000	355,999	(1,778,752)	98,577,247

(See Notes to Financial Statements)

ZED FINANCIAL PH, INC.***(Formerly: Zed Philippines, Inc.)****(A Wholly-owned Subsidiary of Zed Financial, Inc.)***STATEMENT OF CASH FLOWS**

For the Year Ended December 31, 2024

(With Comparative Figures for the Year Ended December 31, 2023)

(In Philippine Peso)

	NOTES	2024	2023
CASH FLOWS FROM OPERATING ACTIVITIES			
Loss before tax		(4,046,270)	(9,078,604)
Adjustments for:			
Depreciation	10,19	18,275	16,091
Finance income	6,7,18	(338,430)	(278,991)
Unrealized foreign exchange loss (gain)	6,18	(4,077,398)	962,348
Operating cash flows before changes in working capital		(8,443,823)	(8,379,156)
Decrease (Increase) in operating assets:			
Trade and other receivables		(27,883,525)	(288,546)
Prepayment and other current assets		437,328	483,635
Increase (Decrease) in trade and other payables		(152,181)	1,702,680
Cash used in operating activities		(36,042,201)	(6,481,387)
Income taxes paid		-	(11,454)
Net cash used in operating activities		(36,042,201)	(6,492,841)
CASH FLOWS FROM INVESTING ACTIVITIES			
Finance income received	6,7	338,430	278,991
Advances granted to a related party	12	(21,023)	(26,400)
Additions to property and equipment	10	(5,048)	(13,665)
Net cash from investing activities		312,359	238,926
CASH FLOW FROM FINANCING ACTIVITY			
Advances received from a related party	12	6,196	719,825
EFFECTS OF FOREIGN EXCHANGE RATE CHANGES ON CASH			
	6	4,077,398	(962,348)
NET DECREASE IN CASH		(31,646,248)	(6,496,438)
CASH AT BEGINNING OF YEAR			
Cash		96,715,057	108,995,445
Cash – restricted		5,783,950	-
		102,499,007	108,995,445
CASH AT END OF YEAR			
Cash		64,518,380	96,715,057
Cash – restricted		6,334,379	5,783,950
		70,852,759	102,499,007

(See Notes to Financial Statements)

ZED FINANCIAL PH, INC.
(Formerly: ZED PHILIPPINES, INC.)
(A Wholly-owned Subsidiary of Zed Financial, Inc.)

NOTES TO FINANCIAL STATEMENTS

December 31, 2024

(With Comparative Figures as of and for the Year Ended December 31, 2023)

1. CORPORATE INFORMATION

Zed Financial PH, Inc. (the “Company”) was incorporated and registered with Securities and Exchange Commission (SEC) on May 12, 2021, primarily to establish, operate, maintain and carry on the business software development, sale and support for any form of technological platforms and handling and/or managing data, data processing, data storage, data analytics and, otherwise dealing in software, web design, and mobile applications excluding internet services and without engaging in the telecommunication business, mass media, and advertising subject to the provision of the Data Privacy Act; to engage the business in providing information technology products and services, such as but not limited to the research development, production, management, marketing and operations of software and hardware technology and other information technology applications; and to do any and all activities directly or indirectly connected therewith or incident thereto in pursuance to aforementioned.

On March 20, 2024, by majority vote of the Board of Directors and by the vote of the stockholders owning or representing at least two-thirds (2/3) of the outstanding capital stock, the Company changed its primary activity to engage in credit card business and operate as a non-bank credit card issuer, and by virtue thereof, possess and exercise the powers, rights, privileges and attributes of credit cards and other access devices to allow its clients to obtain goods, services, money, and any other thing of value or to initiate the transfer of funds; the collection of receivables, fees, interest, and such other charges arising from or connected to the credit card securities of the client to the extend allowed by law; and the undertaking such acts as may be necessary, incidental, or connected with the credit card business. The said amendment was approved by SEC on May 8, 2024.

On May 8, 2024, the SEC approved the amendment of the Company name from Zed Philippines, Inc. to Zed Financial PH, Inc. as approved by majority vote of the Board of Directors in a meeting held on March 20, 2024 and by the vote of the stockholders representing at least two-thirds (2/3) of the outstanding capital stock of the Company in a meeting held on the same date.

On May 31, 2024, the Bangko Sentral ng Pilipinas (BSP) authorized the Company to establish and operate as a non-bank credit card issuer under Monetary Board Resolution No. 703 dated May 19, 2022, pursuant to Republic Act No. 10870 (Philippine Credit Card Industry Regulation Law) and the implementing rules and regulation issued by BSP. The Company offers and issue credit cards branded as “Zed Card”.

The Company is a wholly-owned subsidiary of Zed Financial, Inc. (the “Parent Company”), a software development company headquartered in San Francisco, California, specializing in building software platforms for personal finance.

The registered principal office address of the Company is at 12th Floor, Neo, 4th Avenue, corner 30th Street, Bonifacio Global City, Taguig, 1635.

2. ADOPTION OF NEW AND REVISED ACCOUNTING STANDARDS

The Philippine Financial and Sustainability Reporting Standards Council (FSRSC) approved the issuance of new and revised Philippine Financial Reporting Standards (PFRS). The term “PFRS” in general includes all applicable PFRS, Philippine Accounting Standards (PAS), and Interpretations issued by the Philippine Interpretations Committee (PIC), Standing Interpretations Committee (SIC) and International Financial Reporting Interpretations Committee (IFRIC) which have been approved by the FSRSC and adopted by SEC.

These new and revised PFRS prescribe new accounting recognition, measurement and disclosure requirements applicable to Company. When applicable, the adoption of the new standards was made in accordance with their transitional provisions, otherwise the adoption is accounted for as change in accounting policy under PAS 8, *Accounting Policies, Changes in Accounting Estimates and Errors*.

2.01 New and Revised PFRSs Applied with No Material Effect on the Financial Statements

The following new and revised PFRSs have been adopted in these financial statements. The application of these new and revised PFRSs has not had any material impact on the amounts reported for the current and prior years but may affect the accounting for future transactions or arrangements.

- Amendments to PAS 1, *Classification of Liabilities as Current or Non-current*

The amendments to PAS 1 are the following:

- clarify that the classification of liabilities as current or non-current should be based on rights that are in existence at the end of the reporting period and align the wording in all affected paragraphs to refer to the “right” to defer settlement by at least twelve months and make explicit that only rights in place “at the end of the reporting period” should affect the classification of a liability;
- clarify that classification is unaffected by expectations about whether an entity will exercise its right to defer settlement of a liability; and
- make clear that settlement refers to the transfer to the counterparty of cash, equity instruments, other assets or services.

The amendments defer the effective date of the January 2020 Classification of Liabilities as Current or Non-Current (Amendments to PAS 1) to annual reporting periods beginning on or after January 1, 2024.

- Amendments to PAS 7 and PFRS 7, *Supplier Finance Arrangements*

The amendments introduce new disclosure requirements to enhance the transparency and, thus, the usefulness of the information provided by entities about supplier finance arrangements.

The amendments are effective to annual reporting periods beginning on or after January 1, 2024.

- Amendments to PAS 1, *Non-current Liabilities with Covenants*

The amendments clarify that only covenants with which an entity must comply on or before the reporting date will affect a liability's classification as current or non-current. Additional disclosures are required for non-current liabilities arising from loan arrangements that are subject to covenants to be complied with within twelve months after the reporting period.

The amendments are effective to annual reporting periods beginning on or after January 1, 2024.

- Amendments to PFRS 16, *Lease Liability in a Sale and Leaseback*

The amendments clarify how a seller-lessee measures the lease liability arising in a sale and leaseback transaction in a way that it does not recognize any amount of the gain or loss that relates to the right of use retained.

The amendments are effective to annual reporting periods beginning on or after January 1, 2024.

2.02 New and Revised PFRSs in Issue but Not Yet Effective

The Company will adopt the following standards and interpretations enumerated below when they become effective. Except as otherwise indicated, the Company does not expect the adoption of these new and amended PFRS, to have significant impact on the financial statements.

2.02.01 Standard Adopted by FSRSC and Approved by the Board of Accountancy (BOA)

- PFRS 17, *Insurance Contracts*

PFRS 17 sets out the requirements that an entity should apply in reporting information about insurance contracts it issues and reinsurance contracts it holds. It requires an entity that issues insurance contracts to report them on the balance sheet as the total of the fulfilment cash flows and the contractual service margin. It requires an entity to provide information that distinguishes two ways insurers earn profits from insurance contracts: the insurance service result and the financial result. It requires an entity to report as insurance revenue the amount charged for insurance coverage when it is earned, rather than when the entity receives premium. It requires that insurance revenue to exclude the deposits that represent the investment of the policyholder, rather than an amount charged for services. Similarly, it requires the entity to present deposit repayments as settlements of liabilities rather than as insurance expense.

PFRS 17 is effective for annual periods beginning on or after January 1, 2027. However, all Mutual Benefits Associations (MBAs) doing business in the Philippines is effective beginning on or after January 1, 2030. Early application is permitted for entities that apply PFRS 9, *Financial Instruments* and PFRS 15, *Revenue from Contracts with Customers* on or before the date of initial application of PFRS 17.

An entity shall apply PFRS 17 retrospectively unless impracticable, except that an entity is not required to present the quantitative information required by paragraph 28(f) of PAS 8, *Accounting Policies, Changes in Accounting Estimates and Errors* and an entity shall not apply the option in paragraph B115 for periods before the date of initial application of PFRS 17. If, and only if, it is impracticable, an entity shall apply either the modified retrospective approach or the fair value approach.

- Amendments to PFRS 17, *Insurance Contracts*

The amendments cover the following areas:

- Insurance acquisition cash flows for renewals outside the contract boundary;
- Reinsurance contracts held—onerous underlying insurance contracts;
- Reinsurance contracts held—underlying insurance contracts with direct participation features; and
- Recognition of the contractual service margin in profit or loss in the general model.

The amendments are effective to annual reporting periods beginning on or after January 1, 2027. However, all Mutual Benefits Associations (MBAs) doing business in the Philippines is effective beginning on or after January 1, 2030.

- Amendment to PFRS 17, *Initial Application of PFRS 17 and PFRS 9 — Comparative Information*

The amendment is a transition option relating to comparative information about financial assets presented on initial application of PFRS 17. The amendment is aimed at helping entities to avoid temporary accounting mismatches between financial assets and Insurance contract liabilities and therefore Improve the usefulness of comparative information for users of financial statements.

PFRS 17 incorporating the amendment is effective for annual reporting periods beginning on or after January 1, 2027. However, all Mutual Benefits Associations (MBAs) doing business in the Philippines is effective beginning on or after January 1, 2030.

- Amendments to PAS 21, *Lack of Exchangeability*

The amendments contains guidance to specify when a currency is exchangeable and how to determine the exchange rate when it is not.

The amendments cover the following areas:

- Specify when a currency is exchangeable into another currency and when it is not — a currency is exchangeable if it can be exchanged for another currency through markets or mechanisms that establish enforceable rights and obligations without delay, while it is not exchangeable if an entity can only obtain a small amount of the other currency.
- Specify how an entity determines the exchange rate to apply when a currency is not exchangeable — when a currency isn't exchangeable at a measurement date, an entity estimates the spot exchange rate as the rate that would have applied in an orderly transaction.

- Require the disclosure of additional information when a currency is not exchangeable — when a currency is not exchangeable, an entity discloses information to its financial statement, allowing users to assess its financial performance, position, and cash flows.

The amendments are effective to annual reporting periods beginning on or after January 1, 2025, with early application permitted.

- Amendments to PFRS 9 and PFRS 7, *Amendments to the Classification and Measurement of Financial Instruments*

The amendments cover the following areas:

- Derecognition of a financial liability settled through electronic transfer – the amendments allow entities to discharge a financial liability settled in cash using an electronic payment system if specific criteria are met, and apply the derecognition option to all settlements made through the same system.
- Classification of financial assets:
 - Contractual terms that are consistent with a basic lending arrangement – the amendments outline how entities can evaluate whether contractual cash flows of a financial asset align with a basic lending arrangement, illustrating this through examples of financial assets with or without principal and interest payments.
 - Assets with non-recourse features – the term 'non-recourse' is enhanced, defining a financial asset has non-recourse features if an entity's ultimate right to receive cash flows is contractually limited to the cash flows generated by specified assets.
 - Contractually linked instruments – the amendments clarify that not all transactions with multiple debt instruments meet classification criteria, and that instruments in the underlying pool can include financial instruments not covered by classification requirements.
- There are amendments in the required disclosure for financial assets and liabilities with contractual terms that reference a contingent event and equity instruments classified at fair value through other comprehensive income.

The amendments are effective for annual reporting periods beginning on or after January 1, 2026. Earlier application of either all the amendments at the same time or only the amendments to the classification of financial assets is permitted.

An entity is required to apply the amendments retrospectively. An entity is not required to restate prior periods to reflect the application of the amendments, but may do so if, and only if, it is possible to do so without the use of hindsight.

- Annual Improvements to PFRS Accounting Standards - Volume 11

The International Accounting Standards Board (IASB) has published proposed narrow-scope amendments to PFRS Accounting Standards and accompanying guidance as part of its periodic maintenance of the Accounting Standards.

The proposed amendments included in the Exposure Draft *Annual Improvements to PFRS Accounting Standards— Volume 11* relate to:

- PFRS 1, *First-time Adoption of International Financial Reporting Standards, Hedge Accounting by a First-Time Adopter* – the amendment addresses a potential confusion arising from an inconsistency in wording between paragraph B6 of PFRS 1 and requirements for hedge accounting in PFRS 9, *Financial Instruments*.
- PFRS 7, *Financial Instruments: Disclosures*
 - Gain or Loss on Derecognition – the amendment addresses a potential confusion in paragraph B38 of PFRS 7 arising from an obsolete reference to a paragraph that was deleted from the standard when PFRS 13, *Fair Value Measurement* was issued.
 - Disclosure of Deferred Difference Between Fair Value and Transaction Price – the amendment addresses an inconsistency between paragraph 28 of PFRS 7 and its accompanying implementation guidance that arose when a consequential amendment resulting from the issuance of PFRS 13 was made to paragraph 28, but not to the corresponding paragraph in the implementation guidance.
 - Introduction and Credit Risk Disclosures – the amendment addresses a potential confusion by clarifying in paragraph IG1 that the guidance does not necessarily illustrate all the requirements in the referenced paragraphs of PFRS 7 and by simplifying some explanations.
- PFRS 9, *Financial Instruments*
 - Lessee derecognition of lease liabilities – the amendment addresses a potential lack of clarity in the application of the requirements in PFRS 9 to account for an extinguishment of a lessee's lease liability that arises because paragraph 2.1(b)(ii) of PFRS 9 includes a cross-reference to paragraph 3.3.1, but not also to paragraph 3.3.3 of PFRS 9.
 - Transaction price – the amendment addresses a potential confusion arising from a reference in Appendix A to PFRS 9 to the definition of 'transaction price' in PFRS 15, *Revenue from Contracts with Customers* while term 'transaction price' is used in particular paragraphs of PFRS 9 with a meaning that is not necessarily consistent with the definition of that term in PFRS 15.
- PFRS 10, *Consolidated Financial Statements, Determination of a 'de facto agent'* – the amendment addresses a potential confusion arising from an inconsistency between paragraphs B73 and B74 of PFRS 10 related to an investor determining whether another party is acting on its behalf by aligning the language in both paragraphs.

- PAS 7, *Statement of Cash Flows, Cost Method* – the amendment addresses a potential confusion in applying paragraph 37 of PAS 7 that arises from the use of the term ‘cost method’ that is no longer defined in PFRS Accounting Standards.

The amendments are effective for annual reporting periods beginning on or after January 1, 2026.

- PFRS 18, *Presentation and Disclosure in Financial Statements*

PFRS 18 supersedes PAS 1, *Presentation and Disclosure in Financial Statements*. This new standard is a result of IASB’s Primary Financial Statements project, which aimed at improving comparability and transparency of communication in financial statements.

While several sections from PAS 1 have been retained with minimal changes in wording, PFRS 18 introduces new requirements for the presentation and disclosures in financial statements.

The new requirements include:

- Improved comparability in the statement of profit or loss (income statement);
- Enhanced transparency of management-defined performance measures; and
- More useful grouping of information in the financial statement.

Retrospective application is required in both annual and interim financial statements. PFRS 18 is effective beginning on or after January 1, 2027, with early application permitted.

- PFRS 19, *Subsidiaries without Public Accountability: Disclosures*

PFRS 19 allows eligible entities to provide reduced disclosures compared to the requirements in other PFRS accounting standards. Entities that elect PFRS 19 are still required to apply the recognition, measurement and presentation requirements of other PFRS accounting standards.

An entity may elect to apply the PFRS 19 if at the end of reporting period:

- It is a subsidiary as defined in PFRS 10, *Consolidated Financial Statements*;
- It does not have public accountability; and
- It has a parent (either ultimate or intermediate) that prepares consolidated financial statements, available for public use, which comply with PFRS accounting standards.

An eligible entity (including an intermediate parent) can apply PFRS 19 in its consolidated, separate or individual financial statements. PFRS 19 is applicable for both annual and interim reporting.

PFRS 19 is effective beginning on or after January 1, 2027, with early application permitted.

2.02.02 Deferred

- Amendments to PFRS 10 and PAS 28, *Sale or Contribution of Assets between an Investor and its Associate or Joint Venture*

The amendments clarify the treatment of the sale or contribution of assets between an investor and its associate and joint venture. This requires an investor in its financial statement to recognize in full the gains and losses arising from the sale or contribution of assets that constitute a business while recognize partial gains and losses if the assets do not constitute a business (i.e. up to the extent only of unrelated investor share).

On January 13, 2016, the FSRSC decided to postpone the original effective date of January 1, 2016 of the said amendments until the IASB has completed its broader review of the research project on equity accounting that may result in the simplification of accounting for such transactions and of other aspects of accounting for associates and joint ventures.

3. BASIS FOR THE PREPARATION AND PRESENTATION OF FINANCIAL STATEMENTS

3.01 Statement of Compliance

The financial statements have been prepared in conformity with PFRS and are under the historical cost convention, except for certain financial instruments that are carried at amortized cost.

3.02 Functional and Presentation Currency

Items included in the financial statements of the Company are measured using Philippine Peso (₱), the currency of the primary economic environment in which the Company operates (the “functional currency”).

The Company chose to present its financial statements using its functional currency.

3.03 Order of Liquidity

The Company classifies an asset as current when:

- It expects to realize the asset, or intends to sell or consume it, in its normal operating cycle;
- It holds the asset primarily for the purpose of trading;
- It expects to realize the asset within twelve (12) months after the reporting period; or
- The asset is cash or cash equivalent unless the asset is restricted from being exchanged or used to settle a liability for at least twelve (12) months after the reporting period.

The Company classifies all other assets as non-current.

The Company classifies a liability as current when:

- It expects to settle the liability in its normal operating cycle;
- It holds the liability primarily for the purpose of trading;

- The liability is due to be settled within twelve (12) months after the reporting period; or
- It does not have an unconditional right to defer settlement of the liability for at least twelve (12) months after the reporting period.

The Company classifies all other liabilities as non-current.

Deferred tax assets and liabilities are classified as non-current assets and liabilities, respectively.

4. MATERIAL ACCOUNTING POLICIES

Principal accounting and financial reporting policies applied by the Company in the preparation of its financial statements are enumerated below and are consistently applied to all the years presented, unless otherwise stated.

4.01 Financial Assets

4.01.01 Initial Recognition and Measurement

The Company recognizes financial assets in its statement of financial position when, and only when, the Company becomes a party to the contractual provisions of the instrument.

Except for trade receivables that do not have a significant financing component, at initial recognition, the Company measures a financial asset at its fair value plus, in the case of financial asset not at fair value through profit or loss, transaction costs that are directly attributable to the acquisition or issue of the financial asset.

At initial recognition, the Company measures trade receivables that do not have a significant financing component at their transaction price.

4.01.02 Classification

➤ Financial Asset at Amortized Cost

A financial asset shall be measured at amortized cost if both of the following conditions are met:

- the financial asset is held within a business model whose objective is to hold financial assets in order to collect contractual cash flows; and
- the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

The Company's financial assets measured at amortized cost include cash in banks, cash – restricted, trade and other receivables, rental deposit presented under 'prepayment and other current assets' and due from a related party.

a) Cash in Banks

Cash in banks pertain to deposits held at call with bank that are subject to insignificant risk of change in value. This shall be measured at the undiscounted amount of the cash or other consideration expected to be paid or received.

b) Cash – Restricted

Cash restricted set aside to as an insurance to cover any liabilities that may arise under or in connection with the agreement between the Company to its Customer and shall produce to the customer on request.

c) Trade and Other Receivables

Trade and other receivables are recognized initially at the transaction price and subsequently measured at amortized cost using the effective interest method, less provision for impairment. A provision for impairment of receivables is established when there is objective evidence that the Company will not be able to collect all amounts due according to the original terms of the receivables.

The Company has no financial assets measured at fair value either through profit or loss or through other comprehensive income in both years.

4.01.03 Effective Interest Method

Interest revenue is calculated by using the effective interest method. This is calculated by applying the effective interest rate to the gross carrying amount of a financial asset except for: purchased or originated credit-impaired financial assets and financial assets that are not purchased or originated credit-impaired but subsequently have become credit-impaired.

4.01.04 Impairment

The Company measures expected losses of a financial instrument in a way that reflects:

- An unbiased and probability-weighted amount that is determined by evaluating a range of possible outcomes;
- The time value of money; and
- Reasonable and supportable assumption that is available without undue cost or effort at the reporting date about past events, current conditions and forecast of future economic conditions.

The Company adopted the following approaches in accounting for impairment.

➤ General Approach

The Company applies general approach to cash in banks, cash – restricted, other receivables, rental deposit presented under 'prepayment and other current assets' and due from a related party. At each reporting date, the Company measures the loss allowance for a financial asset at an amount equal to the lifetime expected credit losses if the credit risk on that financial asset has increased significantly since initial recognition. However, if the credit risk has not increased significantly, the Company measures the loss allowance equal to 12-month expected credit losses.

The Company compares the risk of default occurring as at the reporting date with the risk of default occurring as at the date of initial recognition and consider the macro-economic factors such as GDP rate, interest rate, and inflation rate; the status of counterparties' industry; and the available financial information of each counterparty to determine whether there is a significant increase in credit risk or not since initial recognition.

The Company determines that there has been a significant increase in credit risk when there is a significant decline in the factors.

The Company assumes that the credit risk on a financial instrument has not increased significantly since initial recognition if the financial instrument is determined to have low credit risk at the reporting date.

The Company did not apply the 30 days past due rebuttable presumption because based on Company's historical experience, credit risk has not increased significantly even if receivables are more than 30 days past due.

If the Company has measured the loss allowance at an amount equal to lifetime expected credit losses in the previous reporting period, but determines at the current reporting date, that the credit quality improves (i.e., there is no longer a significant increase in credit risk since initial recognition), then the Company shall measure the loss allowance at an amount equal to 12-month expected credit losses at the current reporting date.

The Company recognizes in profit or loss, as an impairment gain or loss, the amount of expected credit losses (or reversal) that is required to adjust the loss allowance at the reporting date.

The Company performs the assessment of significant increases in credit risk on an individual basis.

The Company did not apply the 90 days past due rebuttable presumption in determining whether a financial asset is credit impaired or not because based on the Company's historical experience, past due amounts even over 90 days are still collectible.

The Company determines that a financial asset is credit-impaired when one or more events that have a detrimental impact on the estimated future cash flows of that financial asset have occurred. Evidence that a financial asset is credit-impaired includes observable data about the following events:

- Significant financial difficulty of the counterparty;
- A breach of contract, such as a default or past due event;
- The lender(s) of the counterparty, for economic or contractual reasons relating to the counterparty's financial difficulty, having granted to the borrower a concession(s) that the lender(s) would not otherwise consider; and
- It is becoming probable that the counterparty will enter bankruptcy or other financial reorganization.

➤ **Simplified Approach**

The Company always measures the loss allowance at an amount equal to lifetime expected credit losses for trade receivables. The Company determines that a financial asset is credit-impaired when one or more events that have a detrimental impact on the estimated future cash flows of that financial asset have occurred.

Evidence that a financial asset is credit-impaired includes observable data about the following events:

- Significant financial difficulty of the counterparty;
- A breach of contract, such as a default or past due event;
- The lender(s) of the counterparty, for economic or contractual reasons relating to the counterparty's financial difficulty, having granted to the counterparty a concession(s) that the lender(s) would not otherwise consider; and
- It is becoming probable that the counterparty will enter bankruptcy or other financial reorganization.

4.01.05 Derecognition

The Company derecognizes a financial asset when, and only when the contractual rights to the cash flows of the financial asset expire or it transfers the financial asset and the transfer qualifies for derecognition. The difference between the carrying amount and the consideration received is recognized in profit or loss.

4.02 Input VAT

Input VAT is recognized when the Company pays all VATable transactions. This is initially recorded as an asset and measured at 12% of the amount billed and is recognized when the purchase or expense is incurred, irrespective of when the payment is actually made. Subsequently, this may be offset to output VAT.

4.03 Impairment of Assets

At each reporting date, the Company assesses whether there is any indication that any of its assets other than deferred tax assets and financial assets within the scope of PFRS 9, *Financial Instruments*, may have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss, if any. Where it is not possible to estimate the recoverable amount of an individual asset, the Company estimates the recoverable amount of the cash-generating unit to which the asset belongs. When a reasonable and consistent basis of allocation can be identified, assets are also allocated to individual cash-generating units, or otherwise they are allocated to the smallest group of cash-generating units for which a reasonable and consistent allocation basis can be identified.

Recoverable amount is the higher of fair value less costs to sell and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset for which the estimates of future cash flows have not been adjusted.

If the recoverable amount of an asset or cash-generating unit is estimated to be less than its carrying amount, the carrying amount of the asset or cash-generating unit is reduced to its recoverable amount. An impairment loss is recognized as an expense.

When an impairment loss subsequently reverses, the carrying amount of the asset or cash-generating unit is increased to the revised estimate of its recoverable amount, but the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognized for the asset or cash-generating unit in prior years. A reversal of an impairment loss is recognized as income.

4.04 Financial Liabilities

4.04.01 Initial Recognition and Measurement

The Company recognizes a financial liability in its statement of financial position when, and only when, the Company becomes a party to the contractual provisions of the instrument.

At initial recognition, the Company measures a financial liability at its fair value minus, in the case of financial liability not at fair value through profit or loss, transaction costs that are directly attributable to the acquisition or issue of the liability.

4.04.02 Classification

The Company shall classify all financial liabilities as subsequently measured at amortized, except for:

- financial liabilities at fair value through profit or loss;
- financial liabilities that arise when a transfer of a financial asset does not qualify for derecognition or when the continuing involvement approach applies;
- financial guarantee contracts;
- commitments to provide a loan at a below-market interest rate; and
- contingent consideration recognized by an acquirer in a business combination.

The Company's financial liabilities measured at amortized cost include trade and other payables (except due to government agencies), due to a related party and deposit for future stock subscription.

In both years, the Company does not have financial liabilities measured at fair value through profit or loss.

4.04.03 Derecognition

The Company removes a financial liability (or part of a financial liability) from its statement of financial position when, and only when, it is extinguished (i.e. when the obligation in the contract is discharged or cancelled or expired).

The difference between the carrying amount of a financial liability (or part of a financial liability) extinguished or transferred to another party and the consideration paid, including any non-cash assets transferred or liabilities assumed, is recognized in profit or loss.

4.05 Deposit for Future Stock Subscription

Deposit for future stock subscription is defined as a subscription agreement which, among other things, states that the Company is not contractually obliged to return the consideration received and that the Company is obliged to deliver fixed number of own shares of stock for a fixed amount of cash or property paid or to be paid by the contracting party.

Deposit for future stock subscription is classified as equity if all the conditions required for such recognition have been met as of the end of the reporting period otherwise, if not, classified as liability.

Deposit for future stock subscription is classified as equity when all of the following conditions are met as of the end of the reporting date:

- the unissued authorized capital stock of the entity is insufficient to cover the amount of shares indicated in the contract;
- there is Board of Directors' approval on the proposed increase in authorized capital stock (for which a deposit was received by the corporation);
- there is stockholders' approval of said proposed increase; and
- the application for the approval of the proposed increase has been presented for filing or has been filed with the Commission.

4.06 Equity Instruments

An equity instrument is any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities. Equity instruments issued by the Company are recognized at the proceeds received, net of direct issue costs.

Ordinary shares are classified as equity.

4.07 Revenue Recognition

The Company recognizes revenue when (or as) the Company satisfies a performance obligation by transferring a promised good or service (i.e. asset) to a customer. An asset is transferred when the customer obtains control of that asset.

4.07.01 Performance Obligations Satisfied Over Time

The Company transfers control of a good or service over time and, therefore, satisfies a performance obligation and recognizes revenue over time when the customer simultaneously receives and consumes the benefits provided by the Company's performance as the Company performs.

The Company recognizes income overtime on interchange income fee.

4.07.02 Finance Income

Finance income is recognized when it is probable that the economic benefits will flow to the Company and the amount of revenue can be measured reliably. Finance income is accrued on a time proportion basis, by reference to the principal outstanding and at the effective interest rate applicable, which is the rate that exactly discounts estimated future cash receipts through the expected life of the financial asset to that asset's net carrying amount on initial recognition.

4.08 Expense Recognition

Expense encompasses losses as well as those expenses that arise in the course of the ordinary activities of the Company.

The Company recognizes expenses in the statement of comprehensive income when a decrease in future economic benefits related to a decrease in an asset or an increase of a liability has arisen that can be measured reliably.

4.09 Foreign Currency Transactions

In preparing the financial statement of the Company, transactions in currencies other than the Company's functional currency, i.e. foreign currencies, are recognized at the rates of exchange prevailing at the dates of the transactions. At the end of each reporting period, monetary items denominated in foreign currencies are retranslated at the rates prevailing at that date.

Exchange differences are recognized in profit or loss in the period in which they arise.

4.10 Related Parties and Related Party Transactions

A related party is a person or entity that is related to the Company that is preparing its financial statement. A person or a close member of that person's family is related to Company if that person has control or joint control over the Company, has significant influence over the Company, or is a member of the key management personnel of the Company or of a parent of the Company.

An entity is related to the Company if any of the following conditions applies:

- The entity and the Company are members of the same group (which means that each parent, subsidiary and fellow subsidiary is related to the others);
- One entity is an associate or joint venture of the other entity (or an associate or joint venture of a member of a group of which the other entity is a member);
- Both entities are joint ventures of the same third party;
- One entity is a joint venture of a third entity and the other entity is an associate of the third entity;
- The entity is a post-employment benefit plan for the benefit of employees of either the Company or an entity related to the Company. If the Company is itself such a plan, the sponsoring employers are also related to the Company;
- The entity is controlled or jointly controlled by a person identified above;
- A person identified above has significant influence over the entity or is a member of the key management personnel of the entity (or of a parent of the entity); or
- Management entity providing key management personnel services to a reporting entity.

Close members of the family of a person are those family members, who may be expected to influence, or be influenced by, that person in their dealings with the Company and include that person's children and spouse or domestic partner; children of that person's spouse or domestic partner; and dependents of that person or that person's spouse or domestic partner.

A related party transaction is a transfer of resources, services or obligations between related parties, regardless of whether a price is charged.

4.11 Taxation

Income tax expense represents the sum of current and deferred taxes.

4.11.01 Current Tax

Current tax is based on taxable profit for the year. Taxable profit differs from profit as reported in the statement of comprehensive income because of items of income or expense that are taxable or deductible in other years and items that are never taxable or deductible. The Company's liability for current tax is calculated using tax rates that have been enacted or substantively enacted by the end of the reporting period.

4.11.02 Deferred Tax

Deferred tax is recognized on temporary differences between the carrying amounts of assets and liabilities in the financial statement and the corresponding tax bases used in the computation of taxable profit. Deferred tax liabilities are generally recognized for all taxable temporary differences. Deferred tax assets are generally recognized for all deductible temporary differences, carry forward of unused tax credits from excess Minimum Corporate Income Tax (MCIT) over Regular Corporate Income Tax (RCIT) and unused Net Operating Loss Carry-over (NOLCO), to the extent that it is probable that taxable profits will be available against which those deductible temporary differences and carry forward of unused MCIT and unused NOLCO can be utilized. Deferred income tax, however, is not recognized when it arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction that affects neither the accounting profit nor taxable profit or loss.

Deferred tax liabilities are recognized for taxable temporary differences. Deferred tax assets arising from deductible temporary differences are only recognized to the extent that it is probable that there will be sufficient taxable profits against which to utilize the benefits of the temporary differences and they are expected to reverse in the foreseeable future.

The carrying amount of deferred tax assets is reviewed at the end of each reporting period and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the period in which the liability is settled or the asset realized, based on tax rates and tax laws that have been enacted or substantively enacted by the end of the reporting period. The measurement of deferred tax liabilities and assets reflects the tax consequences that would follow from the manner in which the Company expects, at the end of the reporting period, to recover or settle the carrying amount of its assets and liabilities.

Deferred tax assets and liabilities are offset when there is a legally enforceable right to set off current tax assets against current tax liabilities and when they relate to income taxes levied by the same taxation authority and the Company intends to settle its current tax assets and liabilities on a net basis.

4.11.03 Current and Deferred Tax for the Period

Current and deferred tax are recognized as an expense or income in profit or loss, except when they relate to items that are recognized outside profit or loss, whether in other comprehensive income or directly in equity, in which case the tax is also recognized outside profit or loss.

4.12 Changes in Accounting Policies

The adoption of the new and revised standards and interpretations disclosed in Note 2.01 was made in accordance with their transitional provisions, otherwise the adoption is accounted for as change in accounting policy under PAS 8, *"Accounting Policies, Changes in Accounting Estimates and Errors"*.

5. CRITICAL ACCOUNTING JUDGMENTS AND KEY SOURCES OF ESTIMATION UNCERTAINTIES

In the application of the Company's accounting policies, which are described in Note 4, Management is required to make judgments, estimates and assumptions about the carrying amounts of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized in the period in which the estimate is revised if the revision affects only that period or in the period of the revision and future periods if the revision affects both current and future periods.

5.01 Critical Judgements in Applying Accounting Policies

The following are the critical judgements, apart from those involving estimations that Management have made in the process of applying the entity's accounting policies and that have the most significant effect on the amounts recognized in financial statement.

5.01.01 Assessment of Contractual Terms of a Financial Asset

The Company determines whether the contractual terms of a financial asset give rise on a specified date to cash flows that are solely payments of principal and interest on the principal amount outstanding. In making its judgments, the Company considers whether the cash flows before and after the changes in timing or in the amount of payments represent only payments of principal and interest on the principal amount outstanding.

Management assessed that the contractual terms of its financial assets are solely payments of principal and interest and consistent with the basic lending arrangement. As of December 31, 2024 and 2023, the Company's financial assets measured at amortized cost amounted to ₱99,243,253 and ₱102,984,953, respectively, as disclosed in Note 24.03.

5.01.02 Assessment of Timing of Satisfaction of Performance Obligations

An entity satisfies a performance obligation by transferring control of a promised good or service to the customer, which could occur overtime or at a point in time.

Management assessed that the Company's revenue from rendering service is recognized over time. The Company's performance of service which is to provide credit card services transferred to the customers as the Company performs.

In 2024 and 2023, the Company's revenue includes revenue from interchange income fee amounting to ₱1,025,054 and ₱4,544, respectively, as disclosed in Notes 16.

5.01.03 Assessment of the Transaction Price and the Amounts Allocated to Performance Obligations

A performance obligation is a vendor's promise to transfer a good or service that is 'distinct' from other goods and services identified in the contract.

Management assessed that the allocation of transaction price to performance obligations is not applicable since there is only one performance obligation, which is the sale of service to customers.

5.01.04 Determining whether or not a Contract Contains a Lease

Management assessed that the lease agreements, as disclosed in Notes 19 and 20, qualified as lease since the contracts contain identified assets, the Company has the right to obtain substantially all of the economic benefits, and the Company has the right to direct the use of the identified asset throughout the period of use.

5.01.05 Determining whether or not it is Reasonably Certain that an Extension Option will be Exercised and Termination Option will not be Exercised

Lease term is the non-cancellable period for which the Company has the right to use an underlying asset including optional periods when the Company is reasonably certain to exercise an option to extend (or not to terminate) a lease. The Company considers all relevant facts and circumstances that create an economic incentive for the lessee to exercise the option when determining the lease term and the enforceability of the option. The option to extend the lease term should be included in the lease term if it is reasonably certain that the lessee will exercise the option and the option is enforceable. The Company is required to reassess the option when significant events or changes in circumstances occur that are within the control of the lessee.

Management assessed that these lease contracts cannot be extended beyond the non-cancelable lease period since such are not enforceable under the Philippine law as both parties need to agree before extending the contract. The Company uses the lease term stated in the contract which is one (1) year in both years.

5.01.06 Assessment of 30 days Rebuttable Presumption

An entity determines when a significant increase in credit risk occurs on its financial assets based on the credit management practice of the entity.

Management believes that the 30 days rebuttable presumption is not applicable because based on Company's historical experience credit risk has not increased significantly even if receivables are more than 30 days past due.

5.01.07 Assessment of 90 days Rebuttable Presumption

An entity determines when a default occurs on its financial assets based on the credit management practice of the entity.

Management believes that the 90 days rebuttable presumption on determining whether financial assets are credit impaired is not applicable since based on the Company's historical experience past due amounts even over 90 days are still collectible.

5.01.08 Determining Functional Currency

PAS 21 requires Management to use its judgment to determine the entity's functional currency such that it most faithfully represents the economic effects of the underlying transactions, events and conditions that are relevant to the entity. In making this judgment, the Company considers the following:

- the currency that mainly influences sales prices for financial instruments and services;
- the currency that mainly influences labor, material and other costs of providing goods or services; and
- the currency in which receipts from operating activities are usually retained.

Based on the economic substance of the underlying circumstances relevant to the Company, the functional currency of the Company has been determined to be the Philippine Peso. Although the Company's revenue is denominated in foreign currency, the currency of the country that determines the sales price of its service is Philippine Peso. Furthermore, it is the currency that influences the expenditures of the Company. Also, receipts from operating are usually retained in Philippine Peso. Hence, Management believes that Philippine Peso (₱) is the Company's functional currency since it represents the economic substance relevant to the Company.

5.02 Key Sources of Estimation Uncertainties

The following are the key assumptions concerning the future, and other key sources of estimation uncertainties at the end of the reporting period that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year.

5.02.01 Asset Impairment

The Company performs an impairment review when certain impairment indicators are present. Determining the fair value of prepayment and other current assets (except rental deposit) and equipment, which requires the determination of future cash flows expected to be generated from the continued use and ultimate disposition of such assets, requires the Company to make estimates and assumptions that can materially affect the financial statements. Future events could cause the Company to conclude that prepayment and other current assets and equipment are impaired. Any resulting impairment loss could have a material adverse impact on the financial condition and results of operations.

The preparation of the estimated future cash flows involves significant judgment and estimations. While the Company believes that its assumptions are appropriate and reasonable, significant changes in the assumptions may materially affect the assessment of recoverable values and may lead to future additional impairment charges under PFRS.

In both years, Management determined that there was no indication of impairment on the aforementioned assets except input VAT. As of December 31, 2024 and 2023, the aggregate carrying amounts of the foregoing assets amounted to ₱1,272,639 and ₱1,723,194 respectively, as disclosed in Notes 9 and 10.

5.02.02 Reviewing Residual Value, Useful Lives, and Depreciation Method of Equipment

The residual values, useful lives and depreciation method of the Company's equipment are reviewed, and adjusted prospectively if appropriate, if there is an indication of a significant change in, how an asset is used; significant unexpected wear and tear; technological advancement; and changes in market prices since the most recent annual reporting date. The useful lives of the Company's equipment are estimated based on the period over which the assets are expected to be available for use.

The estimated useful lives of equipment are reviewed periodically and are updated if expectations differ from previous estimates due to physical wear and tear, technical or commercial obsolescence and legal or other limits on the use of the Company's equipment. In addition, the estimation of the useful lives is based on Company's collective assessment of industry practice, internal technical evaluation and experience with similar assets. It is possible, however, that future results of operations could be materially affected by changes in estimates brought about by changes in factors mentioned above. The amounts and timing of recorded expenses for any period would be affected by changes in these factors and circumstances. A reduction in the estimated useful lives of equipment would increase the recognized operating expenses and decrease non-current assets. The Company uses a depreciation method that reflects the pattern in which it expects to consume the asset's future economic benefits.

If there is an indication that there has been a significant change in the pattern used by which a Company expects to consume an asset's future economic benefits, the Company shall review its present depreciation method and, if current expectations differ, shall change the depreciation method to reflect the new pattern.

Management assessed that there were no changes from the previous estimates since the most recent annual reporting period. As of December 31, 2024 and 2023, the carrying value of equipment are P54,749 and P67,976, respectively, as disclosed in Note 10.

5.02.03 Estimating Allowances for Expected Credit Losses of Financial Assets

The Company evaluates the expected credit losses related to its financial assets based on an individual assessment and available facts and circumstances, including, but not limited to historical experience, macro-economic factors, industry performance, and financial information.

The Company uses credit ratings, performance of banking industry, macro-economic and bank's financial information to assess the expected credit losses on its cash in banks. In view of the foregoing factors, Management believes that the expected credit loss is nil.

The Company estimates the allowance for expected credit losses related to its receivables and due from related parties based on assessment of specific accounts where the Company has information that the related parties are unable to meet its financial obligations. In these cases, judgment used was based on the best available facts and circumstances including but not limited to, the length of relationship with the related party and the related party's current liquidity position. The Company used judgment to record specific allowances for the related party against amounts due to reduce the expected collectible amounts.

Management believes that the related parties are able to meet its financial obligations due to the related parties' strong liquidity position, thus, no allowance was set for the advances in both years.

As of December 31, 2024 and 2023, the carrying amounts of the Company's financial assets measured at amortized cost amounted to ₱99,072,253 and ₱102,813,953, respectively, as disclosed in Note 24.03.

5.02.04 Assessing Recoverability of Deferred Tax

The Company reviews the carrying amounts at reporting date and reduces deferred tax assets to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax assets to be utilized.

In both years, Management believes that the Company will generate sufficient taxable profit to allow deferred tax assets to be utilized. As of December 31, 2024 and 2023, the deferred tax assets recognized amounted to ₱2,969,858 and ₱5,025,007, respectively, as disclosed in Note 22.

6. CASH

For the purpose of the statement of cash flows, cash pertains to cash in banks. Cash as of December 31, 2024 and 2023 amounted to ₱64,518,380 and ₱96,715,057, respectively.

The average effective interest rate on bank deposits is 0.01% in both years. Finance income from bank deposits excluding finance income from restricted cash amounted to ₱45,486 and ₱50,638 in 2024 and 2023, respectively, as disclosed in Note 18.

In 2024 and 2023, unrealized foreign exchange gain and loss amounted to ₱4,077,398 and ₱962,348, respectively, as disclosed in Note 18. In 2024 and 2023, realized foreign exchange loss amounted to ₱382,304 and ₱4,185, respectively, as disclosed in Note 18.

7. CASH – RESTRICTED

Cash – restricted of the Company pertains to cash restricted in an interest-bearing account which serves security of the Company's obligations to the credit card service provider, as required by the security agreement signed between the Company and the credit card service provider.

As of December 31, 2024 and 2023, cash – restricted amounted to ₱6,334,379 and ₱5,783,950, respectively.

The average effective interest rate on cash – restricted is 4.95% in both years. Finance income earned from restricted cash amounted to ₱292,944 and ₱228,353 in 2024 and 2023, respectively, as disclosed in Note 18.

The Company assessed that the effect of expected credit losses is insignificant in both years, hence, no provision for expected credit losses was recognized.

8. TRADE AND OTHER RECEIVABLES

The Company's receivables consist of the following:

		2024		2023
Trade	P	8,008,977	P	287,546
Others (Note 15)		20,163,094		1,000
	P	28,172,071	P	288,546

Trade pertains to amount owed by the customers who have made purchases using credit cards.

Trade is non-interest bearing, unsecured and are generally on a 2 to 7 days credit term. All receivables are subject to credit risk exposure, however the Company assessed that all receivables at year-end are collectible, hence no allowance for expected credit losses has been recognized for both years.

Others pertain to incentives receivable from credit card service provider which includes but not limited to expenses paid for technical and marketing costs for the commercial launch of the card, implementation and set-up costs in the market and core fees in relation to the processing of settlements as disclosed in Note 15.

Aging of accounts that are past due but not impaired is as follows:

		2024		2023
1 – 30 days	P	126,541	P	-
31 – 60 days		24,966		-
61 – 90 days		90,164		-
Over 90 days		139,154		-
	P	380,825	P	-

9. PREPAYMENT AND OTHER CURRENT ASSETS

The details of the Company's prepayment and other current assets are shown below:

		2024		2023
Prepaid insurance	P	-	P	319
Card inventory		730,444		1,280,302
Input VAT		487,446		352,997
Rental deposit (Note 20)		171,000		171,000
Office supplies		-		21,600
	P	1,388,890	P	1,826,218

Card inventory pertains to unused cards and packaging.

Input VAT pertains to services lodged under other accounts. Total output VAT offset against input VAT amounted to P119,189 and nil in 2024 and 2023.

10. EQUIPMENT – net

The carrying amount of the Company's equipment as of December 31, 2024 and 2023 are as follows:

January 1, 2023		
Cost	P	74,763
Accumulated depreciation		(4,361)
Carrying amount		70,402
Movements during 2023		
Balance at January 1		70,402
Additions		13,665
Depreciation (Note 19)		(16,091)
Balance at December 31, 2023		67,976
December 31, 2023		
Cost		88,428
Accumulated depreciation		(20,452)
Carrying Amount		67,976
Movements during 2024		
Balance at January 1		67,976
Additions		5,048
Depreciation (Note 19)		(18,275)
Balance at December 31, 2024		54,749
December 31, 2024		
Cost		93,476
Accumulated depreciation		(38,727)
Carrying amount	P	54,749

Additions for 2024 and 2023 amounting to P5,048 and P13,665, respectively, were paid in cash.

In both years, the Company determined that there is no indication of impairment on its equipment.

11. TRADE AND OTHER PAYABLES

The components of trade and other payables account are as follows:

		2024		2023
Trade	P	148,595	P	210,420
Accrued expenses		2,772,000		2,935,528
Due to government agencies		88,967		40,945
Other payable		25,150		-
	P	3,034,712	P	3,186,893

Trade payables pertain to obligations related to local suppliers of good and services. The average credit period on purchases of certain goods and services from suppliers is 30 days. No interest is charged on default payment within the trade payables' credit period. The Company has financial risk management policies in place to ensure that all payables are paid within the credit timeframe.

Accrued expenses pertain to professional fees arising from audit and legal services.

12. RELATED PARTY TRANSACTIONS

Nature of relationship of the Company and its related parties are disclosed below:

Related Parties	Nature of Relationship
Zed Financial, Inc.	Parent Company
Stockholders	Directors, Officers, Stockholders and Related Interests

Balances and transactions between the Company and its related parties are disclosed below:

12.01 Due from a Related Party

Transaction with the stockholders is detailed as follows:

	December 31, 2024		December 31, 2023	
	Amount/ Volume	Outstanding Balance	Amount/ Volume	Outstanding Balance
Stockholders				
Advances	P 21,023	P 47,423	P 26,400	P 26,400

Advances pertain to payment of expenses on behalf of the related party. The amount outstanding is non-interest bearing, unsecured, collectible on demand and will be settled in cash or through offsetting. No guarantee have been received in respect of these advances. No provisions have been made for expected credit loss in respect of the amount owed by the related party.

12.02 Due to a Related Party

12.02.01 Parent Company

Transaction with the Parent Company is as follows:

		December 31, 2024		December 31, 2023	
		Amount/ Volume	Outstanding Balance	Amount/ Volume	Outstanding Balance
Zed Financial, Inc.					
Advances	P	-	P 848,242	P 719,825	P 848,242

Advances are used mainly to finance the working capital requirements of the Company. Transaction with the Parent Company is unsecured, non-interest bearing, payable on demand and will be settled in cash. No guarantees have been given in respect of the amount owed to the Parent Company.

12.02.02 Directors, Officers, Stockholders and Related Interests

Transaction with DOSRI is as follows:

		December 31, 2024		December 31, 2023	
		Amount/ Volume	Outstanding Balance	Amount/ Volume	Outstanding Balance
Officers					
Advances	P	6,196	P 6,199	P 3	P 3

Advances are used mainly to finance the working capital requirements of the Company. Transaction with the officers is unsecured, non-interest bearing, payable on demand and will be settled in cash. No guarantees have been given in respect of the amount owed to the officers.

12.03 Remuneration of Key Management Personnel

The remuneration of the directors and other members of key management personnel of the Company amounted to nil in both years, respectively.

13. DEPOSIT FOR FUTURE STOCK SUBSCRIPTION

On September 21, 2021, the majority of the board of directors and stockholders owning or representing at least two-thirds (2/3) of the outstanding capital stock approved the increase in Company's authorized capital stock from P10,000,000 divided into 10,000,000 shares with P1 par value to P370,000,000 divided into 370,000,000 shares with P1 par value.

On September 22, 2021, the Company entered into a subscription agreement with its Parent Company for the additional shares subscription of 90,000,000 shares with P1 par value. On October 18, 2021, the Company received P90,355,999 in cash as deposit for future stock subscription.

On May 8, 2024, the Securities and Exchange Commission approved the proposed increase in authorized capital stock of the Company.

As of December 31, 2024 and 2023, deposit for future stock subscription amounted to nil and ₱90,355,999, respectively.

14. ISSUED CAPITAL

The issued capital of the Company are as follows:

	2024	2023
Capital stock	₱ 100,000,000	₱ 10,000,000
Additional paid-in capital	355,999	-
	₱ 100,355,999	₱ 10,000,000

14.01 Ordinary Shares

Shown below are the details on the movements of ordinary shares.

	December 31, 2024		December 31, 2023	
	Shares	Amount	Shares	Amount
Authorized:				
₱1 value per share	370,000,000	₱ 370,000,000	10,000,000	₱ 10,000,000
Issued and outstanding:				
Balance, December 31	10,000,000	10,000,000	10,000,000	10,000,000
Conversion of deposit for future stock subscription (Note 13)	90,000,000	90,000,000	-	-
Balance, April 30	100,000,000	₱ 100,000,000	10,000,000	₱ 10,000,000

Ordinary shares carry one (1) vote per share and a right to dividends.

14.01 Additional Paid-in Capital

Additional paid-in capital amounting to ₱355,999 as of December 31, 2024, represents the amount paid by shareholders in excess of the par value of the shares issued by the Company.

15. SIGNIFICANT CONTRACT AGREEMENT

In September 2022, Zed Financial PH, Inc. (the “**Customer**”) entered into a business agreement with Mastercard Asia/Pacific Pte. Ltd. (“**Mastercard**”), under which Mastercard agreed to provide certain incentives and support to the Customer, subject to the Customer’s fulfillment of the terms and conditions outlined in the agreement (the “**Agreement**”). It outlines a comprehensive set of conditions that Zed Financial PH, Inc. (the “**Customer**”) must fulfill to receive and retain the incentives offered by Mastercard.

The Agreement shall become effective upon the date of execution and signing by both parties. Thereafter, the Agreement shall automatically renew on an annual basis unless either party provides written notice of termination at least one (1) month prior to the expiration of the then-current term.

In 2024, total receivables recognized from this agreement amounted to ₱20,162,094 as disclosed in Note 8.

The total MasterCard incentives generated for this contract in 2024 and 2023 amounted to ₱7,594,561 and nil, respectively, as disclosed in Note 18.

The total core fee discount recognized for this contract in 2024 and 2023 amounted to ₱10,118,157 and nil, respectively, a portion of this amount was offset against its cost of services as disclosed in Note 17.

16. INCOME

The Company's income in 2024 and 2023 pertains to interchange income fee amounted to ₱1,025,054 and ₱4,544, respectively.

17. COST OF SERVICES

In 2024 and 2023, the Company's cost of services net of core fee discounts pertains to transaction-related fees amounting to nil and ₱7,977, respectively.

The breakdown of cost of services are as follows:

		2024		2023
Cost of services	₱	185,821	₱	7,977
Less: Core fee discount		(185,821)		-
	₱	-	₱	7,977

18. OTHER INCOME (EXPENSE) – net

Components of other income (expense) are as follows:

		2024		2023
Mastercard incentives	₱	7,594,561	₱	-
Unrealized foreign exchange gain (loss) (Note 6)		4,077,398		(962,348)
Finance income (Notes 6 and 7)		338,430		278,991
Realized foreign exchange loss (Note 6)		(382,304)		(4,185)
Miscellaneous income		13,936		-
	₱	11,642,021	₱	(687,542)

19. OPERATING EXPENSES

The account is composed of the following expenses:

	2024	2023
Professional fees	P 9,906,075	P 3,490,677
Taxes and licenses	1,930,600	208,439
Rent (Note 20)	1,609,333	629,876
Platform fees	884,455	3,933,245
Card issuance cost	793,603	-
Corporate marketing	312,938	72,527
Software and telecommunication	220,801	-
Transportation and travel	167,033	14,940
Bank service charge	85,658	14,048
Depreciation (Note 10)	18,275	16,091
Insurance	319	531
Miscellaneous	784,255	7,255
	P 16,713,345	P 8,387,629

Professional fees pertain to audit, tax, legal services and consultants.

Platform fees are charges imposed to system implementation fee, fixed network fee, MasterCard software fee and MasterCard penalties. The amount is net of the discounts and incentives receivable from Mastercard.

20. LEASE AGREEMENT

20.01 The Company as a Lessee

In 2023, the Company entered into a lease contract agreement with Servcorp Bonifacio Inc. for the use of premises for its Company starting July 8, 2023 up to June 2, 2024 renewable upon the mutual agreement of both parties, the Company extended its contract for another six (6) months. It is refundable at the end of term.

In both years, the Company's rental deposit amounted to P171,000 as disclosed in Note 9.

At reporting date, the Company had outstanding commitments for future minimum lease payments under non-cancelable operating lease, which fall due not later than one (1) year amounting to P386,040 and P323,890 in 2024 and 2023.

Rent expense on the lease of premises amounted to P1,609,333 and P629,876 in 2024 and 2023, respectively, as disclosed in Note 19.

21. INCOME TAXES

21.01 Income Tax Recognized in Profit or Loss

A numerical reconciliation between tax benefit and the product of accounting loss multiplied by the tax rate in 2024 and 2023 is as follows:

		2024		2023
Accounting loss	P	(4,046,270)	P	(9,078,604)
Tax benefit at 25%		(1,011,568)		(2,269,651)
Tax effect of:				
Non-deductible expense		1,465,653		5,382
Finance income subject to final tax		(11,372)		(50,637)
Correction of prior year DTA/DTL		(2,405,048)		-
	P	(1,962,335)	P	(2,314,906)

Details of NOLCO from 2022 – 2024 are as follows:

Year Incurred	Amount	Applied Previous Year	Applied Current Year	Expired	Unapplied	Expiry Date
2022	P 1,275,615	P -	P -	P -	P 1,275,615	2025
2023	8,297,274	-	-	-	8,297,274	2026
2024	2,306,541	-	-	-	2,306,541	2027
	P 11,879,430	P -	P -	P -	P 11,879,430	

22. DEFERRED TAXES – net

The Company deferred taxes is as follows:

		2024		2023
Deferred tax assets (Note 22.01)	P	2,969,858	P	5,025,007
Deferred tax liability (Note 22.02)		(1,019,350)		(5,036,834)
	P	1,950,508	P	(11,827)

22.01 Deferred Tax Assets

The components of the Company's deferred tax assets and their respective movements are as follows:

Year Incurred	NOLCO	Unrealized foreign exchange loss	Total
Balance at January 1, 2023	P 733,751	P 2,391,214	P 3,124,965
Recognized in profit or loss	1,659,455	240,587	1,900,042
Balance at December 31, 2023	2,393,206	2,631,801	5,025,007
Recognized in profit or loss	576,652	(2,631,801)	(2,055,149)
Balance at December 31, 2024	P 2,969,858	P -	P 2,969,858

22.02 Deferred Tax Liability

The Company's recognized deferred tax liability and its movements arising from unrealized foreign exchange gain are as follows:

		2024		2023
Balance at January 1	P	5,036,834	P	2,645,620
Recognized in profit or loss		(4,017,484)		2,391,214
Balance at December 31	P	1,019,350	P	5,036,834

23. FAIR VALUE MEASUREMENTS

23.01 Fair Value of Financial Assets and Liabilities

The carrying amounts and estimated fair values of the Company's financial assets and financial liabilities as of December 31, 2024 and 2023, respectively, are presented below:

	2024		2023	
	Carrying Amounts	Fair Values	Carrying Amounts	Fair Values
Financial Assets:				
Cash	P 64,518,380	P 64,518,380	P 96,715,057	P 96,715,057
Cash – restricted	6,334,379	6,334,379	5,783,950	5,783,950
Trade and other receivables	28,172,071	28,172,071	288,546	288,546
Rental deposit	171,000	171,000	171,000	171,000
Due from a related party	47,423	47,423	26,400	26,400
	P 99,243,253	P 99,243,253	P 102,984,953	P 102,984,953
Financial Liabilities:				
Trade and other payables	P 2,945,745	P 2,945,745	P 3,145,948	P 3,145,948
Due to a related party	854,441	854,441	848,245	848,245
Deposit for future stock subscription	-	-	90,355,999	90,355,999
	P 3,800,186	P 3,800,186	P 94,350,192	P 94,350,192

Due to short-term maturities, Management believes that the carrying amounts of cash, trade and other receivables, due from a related party and trade and other payables (excluding due to government agencies) and due to a related party approximate their fair values.

Management believes that the carrying amounts of rental deposit approximate their fair values.

Deposit for future stock subscription is carried at amortized cost which approximates their fair values.

24. FINANCIAL RISK MANAGEMENT OBJECTIVES, POLICIES AND PROCEDURES

The Company's activities expose it to a variety of financial risks: credit risk, liquidity risk, and foreign exchange risk. The Company's overall risk management program focuses on the unpredictability of financial markets and seeks to minimize potential adverse effects on the Company's financial performance. The Board of Directors has overall responsibility for the establishment and oversight of the risk management framework. Management is responsible for developing and monitoring the Company's risk management policies and reports regularly to the Board on its activities.

24.01 Market Risk Management

24.01.01 Foreign Currency Risk Management

The Company undertakes transactions denominated in foreign currencies; consequently, exposures to exchange rate fluctuations arise. It is the Company's policy that all daily foreign currencies, which arise as a result of its remittance transactions, must be traded either through spot or forward trading transactions with bank partners only at prevailing foreign exchange rates in the market. The daily closing foreign exchange rates shall be the guiding rate in providing wholesale rates and retail rates to foreign offices and agents, respectively. The trading proceeds are used to fulfill remittance obligations to remitters' beneficiaries, to pay out bank loans and other obligations of the Company.

The carrying amounts of the Company's foreign currency denominated monetary assets and monetary liabilities at the end of the reporting period are as follows:

	2024		2023	
	USD	Peso	USD	Peso
Cash in banks	502,166	29,132,685	1,714,999	95,297,343

The Company is mainly exposed to US Dollar. The exchange rates used were ₱58.01 and ₱55.58 for US Dollar in 2024 and 2023, respectively.

The Company's sensitivity to decrease or increase or for its USD is 1.47% and 1.57% in 2024 and 2023, respectively.

The sensitivity rates above are used when reporting foreign currency risk internally to key management personnel and represents Management's assessment of the reasonably possible change in foreign exchange rates. The sensitivity analysis includes outstanding USD and PHP denominated monetary items and adjusts their translation at the period end for a change in foreign currency rates. A positive number below indicates an increase in profit where the USD strengthens against the relevant currency. For a weakening of the USD against the relevant currency, there would be a comparable impact on the profit, and the balances below would be negative. Note that all other variables are held constant. No changes on the assumptions and methods used from the previous period.

	Change in assumption	Monetary Asset Increase in assumption	(Decrease) in assumption	Net Effect to Profit Increase in assumption	Decrease in assumption
2024					
USD	1.47%	427,091	(427,091)	427,091	(427,091)
2023					
USD	1.57%	1,496,168	(1,496,168)	1,496,168	(1,496,168)

The Company's sensitivity to foreign currency has increased during the current period mainly due to increase in foreign currency denominated liabilities.

In Management's opinion, the sensitivity analysis is representative of the inherent foreign exchange risk in both years. The Company mitigates its exposure to foreign currency risk by monitoring its USD cash flows.

24.01.02 Interest Rate Risk Management

The Company's exposure to interest rate risk arises from its cash deposits in banks which is subject to fixed interest rates.

In addition, the Company's exposures to interest rates on financial assets and financial liabilities are detailed in the liquidity risk management section of this note.

Losses for the years ended December 31, 2024 and 2023 would have been unaffected since the Company has no borrowings and cash in banks at variable rates.

The Company's sensitivity to interest rates has not changed significantly from the prior year. The interest rate risk arising from cash in banks are managed by maintaining an appropriate investment planning and analysis and maximizing investment opportunities in various local banks and financial institutions.

24.02 Credit Risk Management

Credit risk is the risk of loss resulting from the failure of a customer or counterparty to honor its financial or contractual obligation. The Company's credit risks primarily arise from cash in banks, cash – restricted, trade and other receivables, rental deposit and due from a related party.

The Company considers the following policies to manage its credit risk:

➤ Banks

The Company transacts only to banks with investment grade credit rating. This information is supplied by independent rating agencies. The Company uses other publicly available information such as annual report to monitor the financial status of the banks. The Company assesses the current and forecast information of the banking industry; and the macro-economic factors such as GDP, interest, and inflation rates to determine the possible impact to banks.

➤ Trade and Other Receivables

The Company manages credit risk through a credit evaluation process, regular monitoring of receivable balances, and recognition of expected credit losses under PFRS 9.

As of December 31, 2024 and 2023, financial assets measured at amortized cost are as follows:

		2024		2023
Cash in banks	P	64,518,380	P	96,715,057
Cash – restricted		6,334,379		5,783,950
Trade and other receivables		28,172,071		288,546
Rental deposit		171,000		171,000
Due from a related party		47,423		26,400
	P	99,243,253	P	102,984,953

The calculation of allowance for credit losses are based on the following three (3) components:

➤ Probability of Default (PD)

PD is the likelihood over a specified period, usually one year that a client will not be able to make scheduled repayments. PD depends not only on the client's characteristics, but, also on the economic environment. PD may be estimated using historical data and statistical techniques.

➤ Loss Given Default (LGD)

LGD is the amount of money a company loses when a client defaults on a contract. The most frequently used method to calculate this loss is by comparing the actual total losses and the total amount of potential exposure sustained at the time that a contract goes into default.

➤ Exposure at Default (EAD)

EAD is the total value a company is exposed to when a loan defaults. It refers to the gross carrying amount of financial asset.

Below is the result of the ECL assessment of the Company on its financial assets in relation to the impairment requirements of PFRS 9, Financial Instruments.

December 31, 2024				
	PD rate	LGD rate	EAD	ECL
	a	b	c	d=a*b*c
Cash in banks	0.00%	11.45% to 98.25%	P 64,518,380	P -
Cash – restricted	0.00%	100.00%	6,334,379	-
Trade and other receivables	0.00%	100.00%	28,172,071	-
Rental deposit	0.00%	100.00%	171,000	-
Due from a related party	0.00%	100.00%	47,423	-
			P 99,243,253	P -

December 31, 2023				
	PD rate	LGD rate	EAD	ECL
	a	b	c	d=a*b*c
Cash in banks	0.00%	52.78% to 99.47% P	96,715,057 P	-
Cash – restricted	0.00%	100.00%	5,783,950	-
Trade and other receivables	0.00%	100.00%	288,546	-
Rental deposit	0.00%	100.00%	171,000	-
Due from a related party	0.00%	100.00%	26,400	-
			P 102,984,953 P	-

Cash in Banks

The Company determined the probability of default rate by considering the following: the credit ratings; the past, current, and forecast performance of Banking Industry; the past, current, and forecast macro-economic factors that may affect the banks; and the current and projected financial information. The Company estimated the probability of default to be nil.

Loss given default rate is calculated by taking into consideration the amount of insured deposit and estimated it to be 11.45% to 98.25% and 52.78% to 99.47% as of December 31, 2024 and 2023, respectively.

Exposure at default is equal to the gross carrying amount of cash in banks.

Trade and Other Receivables

The Company determined the probability of default rate by considering the following: the schedules of trade receivables for the past five years; the nature of business and industry classification of the Company's clients (principals); the past, current, and forecast performance of each client's (principal's) industry; and the past, current, and forecast macro-economic factors that may affect the Company's clients (principals). The Company estimated the probability of default to be 0.00% in both years for some clients that have past due of more than 30 days.

In both years, loss given default rate is 100% for all clients because the Company does not obtain collateral for these transactions.

Exposure at default is equal to the gross carrying amount of trade and other receivables.

24.03 Liquidity Risk Management

Liquidity risk is the risk that the Company will encounter difficulty in meeting obligations associated with financial liabilities.

The Company's approach to managing liquidity is to ensure that it will always have sufficient liquidity to meet its liabilities when due. This is achieved through cash flow forecasting, maintaining adequate cash balances, and securing sufficient credit lines if required.

The following table details the Company's remaining contractual maturity for its non-derivative financial liabilities with agreed repayment periods. The table has been drawn up based on the undiscounted cash flows of financial liabilities based on the earliest date on which the Company can be required to pay. The table includes both interest and principal cash flows. To the extent that interest flows are floating rate, the undiscounted amount is derived from interest rate curves at the end of the reporting period. The contractual maturity is based on the earliest date on which the Company may be required to pay.

	Weighted Average Effective Interest Rate		Within One (1) year
December 31, 2024			
Trade and other payables	-	P	2,945,745
Due to a related party	-		854,441
	-	P	3,800,186
December 31, 2023			
Trade and other payables	-	P	3,145,948
Due to a related party	-		848,245
Deposit for future stock subscription	-		90,355,999
		P	94,350,192

The following table details the Company's expected maturity for its non-derivative financial assets. The table has been drawn up based on the undiscounted contractual maturities of the financial assets including interest that will be earned on those assets. The inclusion of information on non-derivative financial assets is necessary in order to understand the Company's liquidity risk management as the liquidity is managed on a net asset and liability basis.

	Weighted Average Effective Interest Rate		On Demand		Within One (1) Year	Total
December 31, 2024						
Cash in banks	0.01%	P	64,518,380	P	-	P 64,518,380
Cash – restricted	4.95%		6,334,379		-	6,334,379
Trade and other receivables	-		-		28,172,071	28,172,071
Rental deposit	-		-		171,000	171,000
Due from a related party	-		-		47,423	47,423
		P	70,852,759	P	28,390,494	P 99,243,253

	Weighted Average Effective Interest Rate	On demand	Within One (1) Year	Total
December 31, 2023				
Cash in banks	0.01%	P 96,715,057	P -	P 96,715,057
Cash – restricted	4.95%	5,783,950	-	5,783,950
Trade and other receivables	-	-	288,546	288,546
Rental deposit	-	-	171,000	171,000
Due from a related party	-	-	26,400	26,400
		P 102,499,007	P 485,946	P 102,984,953

The amounts included above for variable interest rate instruments for both non-derivative financial assets and liabilities is subject to change if changes in variable interest rates differ to those estimates of interest rates determined at the end of the reporting period.

The Company expects to meet its other obligations from operating cash flows and proceeds of maturing financial assets.

25. MATURITY PROFILE OF ASSETS AND LIABILITIES

The following tables present the financial and non-financial assets and liabilities by contractual maturity and settlement dates as of December 31, 2024 and 2023:

2024					
	Due Within One (1) Year		Due Beyond One (1) Year		Total
Financial Assets – at gross					
Cash	P	64,518,380	P	-	P 64,518,380
Cash – restricted		6,334,379		-	6,334,379
Trade and other receivables		28,172,071		-	28,172,071
Rental deposit		171,000		-	171,000
Due from a related party		47,423		-	47,423
		99,243,253		-	99,243,253
Non-financial Assets – at gross					
Equipment		-		93,476	93,476
Deferred taxes – net		-		1,969,573	1,969,573
				2,063,049	2,063,049
Less:		-		-	-
Accumulated depreciation		-		(38,727)	(38,727)
		-		2,024,322	2,024,322
Total Assets	P	99,243,253	P	2,024,322	P 101,267,575
Financial Liabilities					
Trade and other payables	P	2,945,745	P	-	P 2,945,745
Due to a related party		854,441		-	854,441
	P	3,800,186	P	-	P 3,800,186

2023			
	Due Within One (1) Year	Due Beyond One (1) Year	Total
Financial Assets – at gross			
Cash	P 96,715,057	P -	P 96,715,057
Cash – restricted	5,783,950	-	5,783,950
Trade and other receivables	288,546	-	288,546
Rental deposit	171,000	-	171,000
Due from a related party	26,400	-	26,400
Subtotal	102,984,953	-	102,984,953
Non-financial Assets – at gross			
Equipment	-	88,428	88,428
Less:			
Accumulated depreciation	-	(20,452)	(20,452)
	-	67,976	67,976
Total Assets	P 102,984,953	P 67,976	P 103,052,929
Financial Liabilities			
Trade and other payables	P 3,145,948	P -	P 3,145,948
Due to a related party	848,245	-	848,245
Deposit for future stock subscription	90,355,999	-	90,355,999
Subtotal	94,350,192	-	94,350,192
Non-financial Liabilities			
Deferred taxes – net	-	11,827	11,827
Total	P 94,350,192	P 11,827	P 94,362,019

26. CAPITAL MANAGEMENT OBJECTIVES, POLICIES AND PROCEDURES

The Company manages its capital to ensure that the Company will be able to continue as a going concern while maximizing the return to stakeholders through the optimization of the debt and equity balance.

The capital structure of the Company consists of equity of the Company (comprising capital stock, additional paid in capital and retained earnings (deficit).

Based on Manual of Regulations for Non-Bank Financial Institution (MORNBFBI) under Section 121-CC, BSP Circular No. 1003 series of 2018, *Philippine Credit Card Industry Regulation LAW (RA 10870)*, the Company is required to meet the capital requirement amounting to P100,000,000. As of December 31, 2024, the Company's total capital stock is P100,000,000.

The Company's Board of Directors reviews the capital structure of the Company on an annual basis. As part of this review, the Board considers the cost of capital and the risks associated with each class of capital.

The debt-to-equity ratio at the end of the reporting period is as follows:

		2024		2023
Debt	P	3,889,153	P	94,402,964
Equity		98,569,312		10,305,183
Debt-to-equity ratio		0.04:1		9.16:1

27. NON-CASH TRANSACTION

In 2024, the Company converted its deposit for future stock subscription amounting to P90,355,999 as disclosed in Notes 13 and 14.

28. RECONCILIATION OF LIABILITIES FROM FINANCING ACTIVITIES

Reconciliation of liabilities arising from financing activities as shown in the statements of cash flows is as follows:

		2024		2023
Balance, Beginning	P	91,204,244	P	90,484,419
Advances received from a related party		6,166		719,825
Conversion of deposit for future stock subscription		(90,355,999)		-
Balance, Ending	P	854,441	P	91,204,244

29. APPROVAL OF FINANCIAL STATEMENTS

These financial statements were approved and authorized for issuance by the Board of Directors on July 3, 2025

30. SUPPLEMENTARY INFORMATION REQUIRED BY THE BSP

Presented below are the supplementary information required by the BSP under the Manual of Regulations for Non-Bank Financial Institutions (MORNBFI) to be disclosed as part of the notes to financial statements based on BSP Circular No. 1075, Amendments to Regulations on Financial Audit of Non-Bank Financial Institutions.

30.01. Basic Quantitative Indicators of Financial Performance

	2024	2023
Return on average equity	(7.43%)	(66.33%)
Return on average assets	(3.91%)	(8.45%)
Net interest margin	1.00%	0.00%
Capital to risk asset ratio	96.20%	9.55%
Net interest margin inclusive of declared net income distribution	1.00%	0.00%

30.02 Aggregate Amount of Secured Liabilities and Assets Pledged as Security

The Company has no secured liabilities and assets pledged as security as of December 31, 2024 and 2023.

30.03 Commitments and Contingent Liabilities

The Company has no contingencies and commitments arising from off-balance sheet items as of December 31, 2024 and 2023.

30.04 Breakdown of exposures to directors, officers, stockholders and their related interest (DOSRI)

The Company has no outstanding loans to Directors, Officers, Stockholders and their Related Interest as of December 31, 2024 and 2023.

31. SUPPLEMENTARY INFORMATION UNDER BIR REVENUE REGULATIONS

31.01 Revenue Regulations No. 15-2010

The Bureau of Internal Revenue (BIR) released a revenue regulation dated November 25, 2010 amending Revenue Regulations No. 21-2002 setting forth additional disclosures on Notes to Financial Statement. Below are the disclosures required by the said regulation:

31.01.01 Taxes and Licenses Paid or Accrued

The Company's taxes, duties and licenses fees paid or accrued in 2024 are as follows:

31.01.01.01 Output VAT

The Company is VAT-registered with an output tax declaration of ₱119,189 for the year based on the amount reflected in the revenue.

31.01.01.02 Input VAT

An analysis of the Company's input tax claimed during the year is as follows:

Balance, January 1	₱	289,034
Current year's domestic purchases/payments for:		
Services lodged under other accounts		317,601
Total available input tax		606,635
Output VAT applied		(119,189)
Balance, December 31	₱	487,446

31.01.01.03 Other Taxes and Licenses

An analysis on the Company's other taxes and licenses paid or accrued during the year is as follows:

Permit fees	₱	149,040
Others		873,999
	₱	1,023,039

31.01.01.04 Withholding Taxes

Analysis of the Company's withholding taxes paid or accrued for the year arises from expanded withholding taxes amounting to P13,775

31.01.01.05 Documentary Stamp Tax

The Company's documentary stamp tax paid during the year amounted to P900,090 which is from an increase of authorized capital stock.

31.02 Revenue Regulations No. 19-2011

Pursuant to Section 244 in relation to Section 6(H) of the National Internal Revenue Code of 1997 (Tax Code), as amended, these regulations are prescribed to revise BIR Form 1702 setting forth the following schedules. Below are the disclosures required by the said regulation:

31.02.01 Income

The Company's revenue for the taxable year amounted to P1,025,054.

31.02.02 Other Income

The following is an analysis of the Company's other income for the taxable year:

Mastercard incentives	P	7,594,561
Interest income from escrow account		292,944
Realized forex gain		39,937
Miscellaneous income		13,937
	P	7,941,379

31.02.03 Itemized Deductions

The following is an analysis of the Company's itemized deductions for the taxable year:

Professional fees	P	4,127,194
Taxes and licenses		1,901,717
Rental		1,609,333
Platform fees		884,455
Card issuance cost		793,603
Realized foreign exchange loss		422,241
Corporate marketing		258,090
Software and telecommunication		220,801
Transportation and travel		167,033
Bank service charge		85,658
Depreciation		18,275
Insurance		319
Miscellaneous		784,255
	P	11,272,974

31.03 Revenue Regulations No. 34-2020

Revenue Regulations (RR) No. 34-2020 prescribes the guidelines and procedures for the submission of BIR Form No. 1709, transfer pricing documentation and other supporting documents, amending for this purpose pertinent provisions of RR Nos. 19-2020 and 21-2002, as amended by RR No. 15-2010.

The Company is covered by the requirements and procedures for related transactions provided in RR No. 34-2020.



SUPPLEMENTAL INDEPENDENT AUDITORS' REPORT

The Board of Directors and the Stockholders

ZED FINANCIAL PH, INC.

(Formerly: Zed Philippines Inc.)

(A Wholly-owned Subsidiary of Zed Financial, Inc.)

12th Floor, Neo Building, 4th Avenue corner

30th Street, Bonifacio Global City

Taguig, 1635

We have audited the financial statements of **ZED FINANCIAL PH, INC.** for the year then ended December 31, 2024, on which we have rendered the attached report dated July 3, 2025.

In compliance with Revenue Regulation V-20, we are stating that no partner of our Firm is related by consanguinity or affinity to the president, manager or principal stockholders of the Company.

In compliance with Revised Securities Regulation Code Rule 68, we are stating that the said Company has only one (1) stockholder owning one hundred (100) or more shares.

R.S. BERNALDO & ASSOCIATES

BOA/PRC No. 0300

Valid until November 19, 2026

SEC Group A Accreditation No. 0300-SEC

Valid until 2024 audit period (extended until 2025 audit period)

BSP Group B Accreditation No. 0300-BSP

Valid until 2026 audit period

BIR Accreditation No. 08-007679-000-2023

Valid from January 31, 2023 until January 30, 2026

IC Group A Accreditation No. 0300-IC

Valid until 2026 audit period

MARVIN G. GARCIA

Partner

CPA Certificate No. 102934

BOA/PRC No. 0300/P-003

Valid until November 19, 2026

SEC Group A Accreditation No. 102934-SEC

Valid until 2025 audit period

BSP Group B Accreditation No. 102934-BSP

Valid until 2025 audit period

BIR Accreditation No. 08-007679-008-2025

Valid from March 20, 2025 until March 19, 2028

Tax Identification No. 214-290-691

IC Accreditation No. 102934-IC

Valid until 2024 audit period

PTR No. 10481164

Issued on January 15, 2025 at Makati City

July 3, 2025

BOA/PRC No. 0300 • BIR Accredited • SEC Group A Accredited • BSP Group B Accredited • IC Group A Accredited

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